

The elements for breach of contract are as follows: (1) the existence of the contract, (2) plaintiffs' performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821).

Plaintiff provides a copy of Employment Confidentiality and Inventions Agreement between Plaintiff and Defendant. (Decl. of Vande Hei, ¶¶ 4-5 & Ex. A.) Plaintiff also provides evidence that it treats its client information as confidential. (Decl. of Vande Hei, ¶ 6).

Mr. Vande Hei also declares: "Based on my review of those records, Stark had active client and/or student relationships with Gilbert Simas and/or members of his family before Barton's separation, and one or more of those relationships ended or decreased around the time Barton left Stark. I understand additional discovery will be needed to determine the full scope of Barton's client facing communications and the complete amount of Stark's resulting damages." (Decl. of Vande Hei, ¶ 11).

However, none of this suggests breach of the Confidentiality provision. There is no evidence of breach. While Plaintiff argues that more discovery is needed, the court must reject this argument, as Plaintiff did not move for limited discovery pursuant to Code Civ. Proc. §425.16, subd. (g). Accordingly, Plaintiff failed to meet its burden.

2nd Cause of Action for Tortious Interference with Contract

The court finds that this cause of action is based on both protected conduct and unprotected conduct based on the allegations in the complaint: "Defendant knew of these contracts and intentionally and unjustifiably interfered with them by soliciting clients and employees to leave Plaintiff and join him elsewhere." (Compl., ¶ 21) "Defendant's interference caused actual breaches of those contracts, including the departure of students and associated financial losses." (Compl., ¶ 22). Paragraph 22 ties Plaintiff's losses to not just the departure of clients, but the departure of students as well. Plaintiff previously alleged that it lost students because of Defendant's disparaging statements, which included protected statements. (Compl., ¶ 13).

"To prevail on a cause of action for intentional interference with contractual relations, a plaintiff must plead and prove (1) the existence of a valid contract between the plaintiff and a third party; (2) the defendant's knowledge of that contract; (3) the defendant's

intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.” (*Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1148).

Once again, Plaintiff failed to present any evidence of Defendant’s actions whatsoever, other than that Defendant became disengaged from team operations and internal communications. (Decl. of Vande Hei, ¶ 9). Evidence that a client’s relationship ended “or decreased” after Defendant’s departure does not, alone, suggest intentional interference by Defendant. Accordingly, Plaintiff failed to meet this burden.

3rd Cause of Action for Defamation

The court finds that this cause of action is based on both protected conduct and unprotected conduct based on the allegations in the complaint: “Defendant made false statements to third parties, including staff and clients, asserting that he had been terminated by Plaintiff and that Plaintiff mistreated its employees.” (Compl., ¶ 25).

The elements of a defamation claim are (1) a publication that is (2) false, (3) defamatory, (4) unprivileged, and (5) has a natural tendency to injure or causes special damage. (*Taus v Loftus* (2007) 40 Cal.4th 683, 720).

Here, Plaintiff presents evidence that it did not terminate Defendant, and that he resigned. (Decl. of Molina, ¶¶ 3-5). However, Plaintiff failed to present any evidence suggesting that Defendant published a statement regarding his termination, or any other statement, in the first instance. Plaintiff’s evidence only suggests that Defendant became disengaged from team operations and internal communications, and Plaintiff’s relationship with Gilbert Simas and/or members of his family ended or decreased after Defendant’s departure. Accordingly, Plaintiff failed to meet its burden.

4th Cause of Action for Unfair Competition

The court finds that this cause of action is based on both protected conduct and unprotected conduct based on the allegations in the complaint: “Defendant’s conduct, including solicitation of clients during employment, misuse of confidential information, and dissemination of false statements, constitutes unlawful, unfair, and fraudulent business practices.” (Compl., ¶ 29).

Business and Professions Code section 17200 prohibits “unfair competition,” which is defined to include “any unlawful, unfair or fraudulent business act or practice” and “unfair, deceptive, untrue or misleading advertising” and any act prohibited by Bus. & Prof. Code § 17500. Causes of actions based on “unlawful” conduct may be based on violations of other statutes. (*See Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1383.)

Once again, Plaintiff failed to present any evidence of any wrongful actions whatsoever. Accordingly, Plaintiff failed to meet this burden.

5th Cause of Action for Misappropriation of Trade Secrets

The court finds that this cause of action is not based on any protected conduct. While the fifth cause of action for misappropriation of trade secrets contains an allegation which reads “Plaintiff re-alleges and incorporates by reference each and every preceding paragraph”, it is clear from this cause of action that it is based solely on unprotected conduct: “Plaintiff maintained confidential and proprietary client information and lists constituting trade secrets under Civil Code §3426.1(d).” (Compl., ¶ 32). “Defendant misappropriated such trade secrets by using and disclosing them to solicit Plaintiff’s clients and benefit a competing enterprise.” (Compl., ¶ 33). Therefore, Defendant has not established its burden as to the fifth cause of action.

Accordingly, the court strikes the following:

Paragraph 9 of the Complaint;

Paragraph 13 of the Complaint;

The following from Paragraph 17 of the Complaint: “and by making disparaging statements harming Plaintiff’s business”; and

The following from Paragraph 25 of the Complaint: “and that Plaintiff mistreated its employees”.

Finally, Defendant is granted attorneys’ fees in the reduced amount of \$10,215.

Defendant shall give notice.